Confidential Information Memorandum

Project Ashgrove

Ashgrove Grain Systems Corp. | Agricultural Grain Elevator Management Software

Prepared by Cardinal & Vale Advisors · FY25

Executive summary

Ashgrove handles grain intake, grading, storage allocation and settlement for country elevators across the prairie provinces.

The business is a agricultural grain elevator management software platform founded in 1997 and employing 29 people from its Regina, Saskatchewan headquarters. Approximately **84%** of total revenue is recurring subscription revenue; revenue grew **2%** year over year in FY25.

Settlement logic encodes two decades of provincial grading rules that customers rely on being correct at harvest.

The business

Ashgrove handles grain intake, grading, storage allocation and settlement for country elevators across the prairie provinces.

Revenue is contracted under written agreements with defined renewal terms. Implementation is delivered by the company's own team, and ongoing support is included in the subscription for all customer tiers.

Settlement logic encodes two decades of provincial grading rules that customers rely on being correct at harvest.

Market overview

The agricultural grain elevator management software market is fragmented, with a long tail of regional providers and no single vendor holding a dominant national share. Buyers are operationally conservative and replacement cycles are measured in years rather than quarters.

Management believes the addressable market continues to expand as smaller operators retire spreadsheet-based and paper processes, and as regulatory reporting obligations increase the cost of manual compliance.

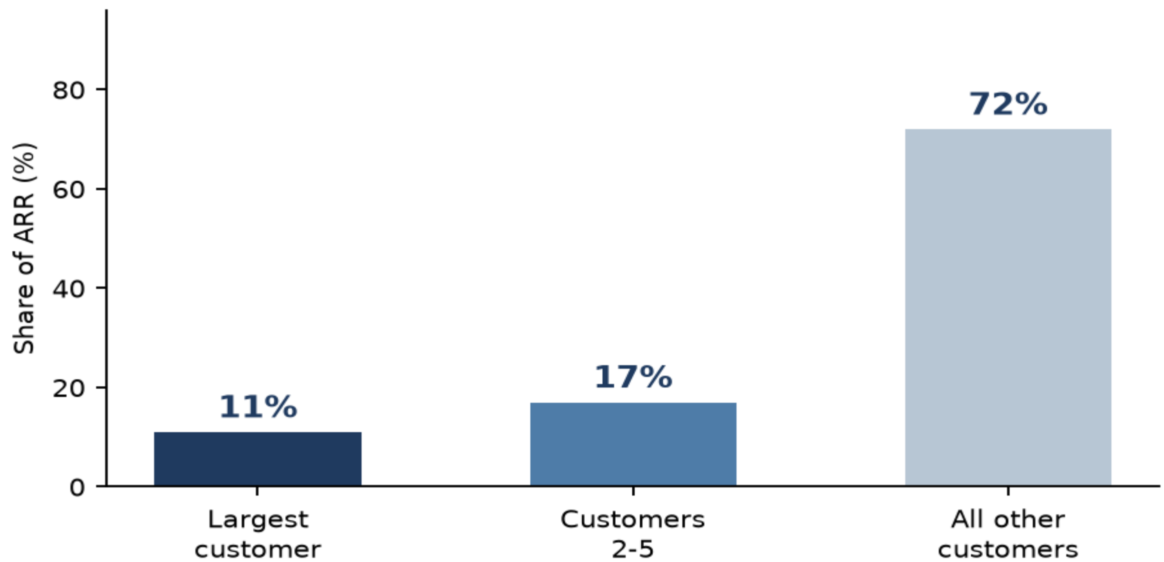
Product

The platform is delivered as a hosted application with role-based access, configurable workflow, and an audit trail across every transaction. Customers access the system through a browser; a mobile companion application covers field workflows.

The published integration surface covers accounting, payments and reporting endpoints, and a documented API supports customer-built extensions.

Customer base

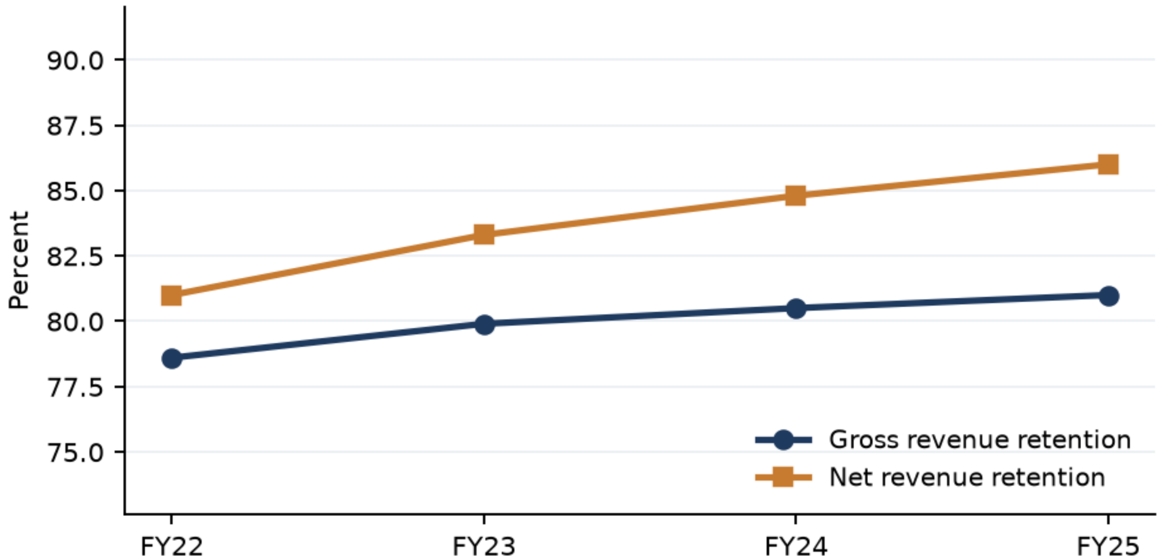
The customer base is contracted on written agreements with staggered renewal dates. The chart below sets out the distribution of annual recurring revenue across the customer base.



Distribution of annual recurring revenue by customer, FY25.

Retention

Retention has been measured on a consistent basis across the periods shown. Gross retention excludes expansion; net retention includes expansion, upsell and contraction within the existing base.



Gross and net revenue retention, FY22 to FY25.

Financial summary

The table below summarises FY25 performance. Figures are unaudited and prepared by management.

Metric	FY25	Basis
Annual Recurring Revenue	$4.3M	Contracted, annualised
Monthly Recurring Revenue	$358K	Exit month
Gross margin	69%	Excl. amortisation
EBITDA	$1.2M	Adjusted

Adjusted EBITDA reflects add-backs for one-time transaction preparation costs and non-recurring legal expenses.

Management and organisation

The founder remains CEO and is the only person who has worked on the settlement engine. He writes production code, approves every release, and holds the relationships with the six largest elevators personally. There is no CTO and no documented succession plan.

Total headcount is 29. The company operates from a single office in Regina, Saskatchewan with a distributed support function.

Technology

The core is a Delphi application first shipped in 1998, with a web layer bolted on in 2013. The settlement engine has no automated test coverage and runs on an unsupported database version.

Security controls include role-based access, encryption in transit and at rest, and an annual third-party penetration test.

Growth initiatives

Management has identified three near-term initiatives: expanding the integration catalogue, introducing usage-based modules alongside the core subscription, and extending into adjacent operator segments already served informally today.

Transaction process

Indications of interest are requested by the date set out in the process letter. Management presentations will be scheduled with selected parties, and access to a virtual data room will follow execution of a confidentiality agreement.

Enquiries should be directed to the advisor named on the cover.